Threshold (what-if)

0 1,000,000

Threshold and materiality

225,180.56	225,180.56	256,717.74
Threshold Value	Materiality 2026	Materiality 2025

Statement lines and accounts: year-end balances (debits less credits) and the change from 2025 to 2026

	Balance 2024	Balance 2025	Balance 2026	Change 2025 to 2026	Flag
+ Cash	5,888,974.24	9,383,566.10	8,442,255.80	−941,310.30	Above threshold
+ Receivables	4,990,043.90	4,735,796.23	4,798,804.32	63,008.09	
– Inventories	**10,135,789.64**	**15,178,832.94**	**23,935,720.45**	**8,756,887.51**	**Above threshold**
1040 Inventory - Finished Goods	9,287,087.68	10,829,820.22	12,169,701.74	1,339,881.52	Above threshold
1045 Inventory - Materials and Packaging	849,201.07	4,334,722.56	11,751,653.92	7,416,931.36	Above threshold
1046 Inventory - Work in Process	69,324.98	63,392.97	61,095.34	−2,297.63	
1090 Manufacturing Cost Clearing	−69,824.09	−49,102.81	−46,730.55	2,372.26	
+ Prepaid expenses and other current assets	60,000.00	60,000.00	60,000.00	0.00	
+ Property and equipment, net	2,667,912.53	2,480,488.73	2,091,743.54	−388,745.19	Above threshold
+ Accounts payable	−4,752,540.53	−5,467,809.52	−6,237,466.66	−769,657.14	Above threshold
+ Goods received not invoiced	−597,625.15	−969,574.35	−1,020,992.06	−51,417.71	
+ Accrued liabilities	−490,174.49	−540,060.42	−624,410.91	−84,350.49	
+ Sales tax payable	−1,778,285.15	−3,688,321.37	−5,620,840.66	−1,932,519.29	Above threshold
+ Customer credits	−3,105.75	−1,008.67	−3,413.46	−2,404.79	
+ Notes payable, less current portion	−326,859.51	−243,425.23	−389,304.68	−145,879.45	
+ Common stock	−500,000.00	−500,000.00	−500,000.00	0.00	
+ Retained earnings	−10,183,821.46	−15,294,129.73	−20,428,484.44	−5,134,354.71	Above threshold
+ Operating revenue	−27,503,887.96	−29,586,268.92	−29,973,822.48	−387,553.56	Above threshold
+ Sales returns and allowances	145,655.35	201,104.38	242,764.56	41,660.18	
+ Cost of goods sold	16,204,436.59	17,833,805.16	18,634,303.63	800,498.47	Above threshold
+ Operating expenses	6,033,733.49	6,355,491.55	6,471,696.58	116,205.03	
+ Interest expense	9,754.26	19,513.12	28,946.47	9,433.35	
+ Loss on disposal of equipment		42,000.00	92,500.00	50,500.00	

Changes above the threshold (right-click > Drill through > Postings)

Account	Change 2025 to 2026	Absolute Change
1045 Inventory - Materials and Packaging	7,416,931.36	7,416,931.36
3030 Retained Earnings	−5,134,354.71	5,134,354.71
2050 Sales Tax Payable	−1,932,519.29	1,932,519.29
1040 Inventory - Finished Goods	1,339,881.52	1,339,881.52
1010 Cash and Cash Equivalents	−941,310.30	941,310.30
2010 Accounts Payable	−769,657.14	769,657.14
4020 Sales Revenue - Lighting	−498,432.37	498,432.37
5080 Manufacturing Variance	403,686.80	403,686.80
5020 COGS - Lighting	246,456.24	246,456.24

8 accounts and retained earnings are above the threshold. Retained earnings moves by 5,134,354.71, the 2025 net income closed into it. A line is flagged on its own change: Property and equipment, net is above the threshold as a line, though none of its accounts is.

Review | Sources | +

Report view, page Review, with the Threshold slider as it opens: no value is chosen, so Threshold Value is the 2026 materiality. Inventories is expanded to its accounts; a + marks a line with accounts under it. A flagged cell reads Above threshold and is tinted. The page's text box is not drawn.